Financial Management & Corporate Capital Budgeting (MBA / BBA)

Uploaded By: Anjali Sharma (MBA 4th Semester) | Official Course Curriculum | Peer Verified & 4.9

Unit 1: Time Value of Money & Capital Budgeting Techniques

- Net Present Value (NPV): NPV = Sum(CF_t / (1+r)^t) - Initial Outlay. Project accepted if NPV > 0.
- Internal Rate of Return (IRR): The discount rate at which NPV = 0. Accept if IRR > Cost of Capital (WACC).
- Profitability Index (PI): PV of Future Cash Flows / Initial Investment.
- Payback Period & Discounted Payback Period analysis.

Unit 2: Working Capital & Financial Ratio Analysis

- Operating Cycle = Inventory Conversion Period + Debtors Collection Period - Creditors Deferral Period.
- Liquidity Ratios: Current Ratio = Current Assets / Current Liabilities (Ideal 2:1), Quick Ratio (Ideal 1:1).
- Leverage & Profitability Ratios: Debt-Equity Ratio, Interest Coverage Ratio, Return on Equity (ROE).